

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$273.51 ▼ 3.92%

12M Price Target
\$320.00

52-Week Range
\$70.69 – \$329.88

Market Cap
\$245.81B

MRVL: AI Chip Darling Cools After Blowout Week

WHAT HAPPENED

- MRVL dropped ~4% today after a monster run — Monday the stock jumped nearly 6% on huge volume (51M shares, roughly 3x normal), so what you're seeing today is just traders taking profits after a quick spike. Nothing broke; this is "digestion," not a trend change.
- The broader tape was defensive — Energy and Staples led while tech names took a breather. That's a classic "risk-off rotation" day, which hits high-beta AI names like MRVL harder than the average stock.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- Hyperscaler capex is the whole story — if Amazon, Microsoft, or Meta signals a slowdown in AI spending on their next earnings calls (late October/early November), MRVL could drop 15-20% fast.
- Custom silicon is a concentrated business — losing a single big customer (like Amazon's Trainium program) would blow a hole in the growth story that's priced in.
- The sleeper risk nobody discusses: optical/networking competition from Broadcom. If AVGO wins more switch/optics sockets inside AI data centers, Marvell's non-AI segments stay weak and the valuation looks even stretchier.

IN THE NEWS

WHAT OPTIONS TRADERS ARE DOING

Put/Call Ratio	0.44
Call Vol / Put Vol	102,930 / 44,914
Flow Signal	BULLISH
Largest Unusual	CALL \$275.0 2026-10 (7.7x OI)

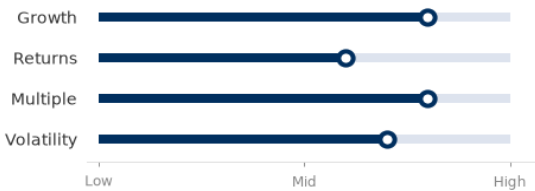
Bullish flow: P/C ratio 0.44 with unusual call block at \$275 strike (7.7x OI, \$7.6M notional). Institutional positioning appears long-oriented.

ARE INSIDERS BUYING OR SELLING?

Key Data

Price (USD)	\$273.51
12M Price Target	\$320.00
Upside / (Downside)	+17.0%
Market Cap	\$245.81B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$10,800M
FY2026E EPS	\$2.85
FY2027E EPS	\$4.20
Fwd P/E	96.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$300.00	\$280.00	\$255.00
6 Months	\$340.00	\$310.00	\$240.00
1 Year	\$380.00	\$320.00	\$220.00
2 Years	\$450.00	\$360.00	\$200.00
5 Years	\$650.00	\$480.00	\$180.00
10 Years	\$900.00	\$600.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+3% today) and Staples (+2%) — classic defensive rotation, likely tied to oil prices firming and investors de-risking after a strong tech run. Financials also catching a bid as rate expectations stabilize.

COOLING OFF: Semis and high-beta tech took the day off — no sector-wide crack, just profit-taking after a hot stretch.

ROTATION WATCH: Money rotated OUT of growth and INTO value/defensives today. If this persists more than 2-3 days, it signals bigger macro worry; one day is just noise.

RELATED PLAY: If you believe the AI custom silicon thesis, the picks-and-shovels names benefit too — think Credo Technology (CRDO) for connectivity, or Astera Labs (ALAB) for data center fabric chips. Both move with MRVL but have smaller market caps and more upside leverage.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): The 800-lb gorilla of custom AI silicon — winning Google TPU and Meta MTIA business, and its scale makes it the "safer" AI chip play.
- NVDA (Nvidia): Still the king of AI training — any strength here lifts the whole semi complex including MRVL.

MRVL CONTEXT: MRVL is actually leading its mid-cap chip peers over the past month, sitting at 78% of its 52-week range after nearly 4x-ing from the lows. That's a stock the market loves — but it also means less margin for error on the next earnings print (early December).

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Strong secular story and bullish positioning, but valuation leaves no room for a stumble.

POSITION SIZE: 3-5% of portfolio — the thesis is real but volatility is high; sizing matters more than being right.

ENTRY POINTS: Scale in on pullbacks to \$255-265 (recent support zone). Avoid chasing green days above \$290.

TIME HORIZON: 12-24 months — the main catalyst is December earnings and 2026 AI capex guidance from hyperscalers in late January.

WHEN TO BAIL: If MRVL loses a major custom silicon customer, or if hyperscaler AI capex guidance drops 15%+ year-over-year, cut the position. Also: a close below \$240 breaks the uptrend technically.

HEDGING: Simplest hedge — buy a put option 10% below current price for a few months out; it costs some premium but caps your downside if the AI trade cracks. Or own a smaller MRVL position alongside a defensive dividend stock to smooth the ride.